



PAYROLL RISK & EVIDENCE REVIEW

Termination Exposure – Detailed Report

Organisation	Chase Risk & Compliance Demo Client
Review period	01 Mar 2024
Prepared as at	10 Apr 2026

CONFIDENTIAL

1. Executive Summary

This Termination Exposure report focuses solely on termination-related evidential risk indicators identified from the supplied payroll and HR data. The review assesses how complete, timely and traceable termination records appear for audit and dispute purposes. It does **not** determine whether termination payments are correct under applicable awards, agreements or contracts.

Across the dataset provided, the automated checks identified:

- **High:** 2
- **Medium:** 8
- **Low:** 0

A detailed breakdown by severity is provided in the **Findings Overview** section.

2. Data Sources

This review was generated from the following analysis outputs within the project `outputs/` directory:

- `term_summary_by_severity.csv`
- `term_findings.csv`
- `executive\executive_summary.md`
- `executive\executive_summary.json`
- `crc_coverage_insight.md`

These outputs were produced by rule-based checks over payroll and HR CSV extracts supplied by the organisation for the review period.

3. Scope & Methodology

Modules included in this engagement:

- Termination Exposure (TERM)
-

Termination Exposure – Scope & Methodology

Scope

The Termination Exposure review assesses whether termination events recorded in payroll and related employment data are sufficiently complete, timely, and traceable to support the organisation's ability to evidence termination-related payroll decisions if reviewed by auditors or regulators.

This review focuses on process and evidential integrity, not on the correctness of termination payments.

Specifically, the review considers whether:

- termination events are recorded consistently across available data sources
- final pay processing occurs in a reasonable and defensible sequence relative to termination dates
- core termination attributes (such as termination date and termination type/reason) are present and internally consistent
- termination-related decisions are supported by basic evidentiary artefacts or references

Out of scope

This review does not:

- calculate final pay entitlements or assess payment correctness
- interpret awards, enterprise agreements, or employment contracts
- determine notice, redundancy, or severance obligations
- assert contraventions of legislation or confirm non-compliance.
- provide legal advice or assurance of compliance.

Any potential exposure identified reflects defensibility risk, not confirmed error or liability.

Methodology

The review applies a series of rule-based checks to payroll and related employment data to identify termination events that exhibit characteristics commonly associated with audit, regulatory, or dispute risk.

Each finding is assigned a severity based on evidential impact, reflecting how materially the issue could impair the organisation's ability to explain and support termination-related payroll decisions if reviewed.

Severity does not represent:

- likelihood of underpayment
- magnitude of financial exposure
- remediation priority

4. Findings Overview

Where a Termination Exposure review was performed, the table below summarises the number of termination-related evidential issues identified by severity. Counts reflect **evidential risk only** and do not represent confirmed non-compliance or quantified financial exposure, or remediation priority.

Severity	Count	Description
HIGH	2	Absence or weakness of core termination or final pay evidence that would materially impair the organisation's ability to evidence termination decisions if reviewed by auditors or regulators.
MEDIUM	8	Termination evidence exists but is incomplete, delayed or ambiguous and may require additional explanation or manual reconstruction.
LOW	0	Minor record-keeping or data quality weaknesses in termination records that should be improved over time to support efficient and reliable payroll operations.

5. Detailed Findings

This section sets out detailed findings for **Termination Exposure** only. Findings highlight where termination records may be incomplete, inconsistent or difficult to substantiate if reviewed by auditors, regulators or in the context of a dispute. They do **not** confirm incorrect pay outcomes.

TERM-010

HIGH

Employee: E002 | Classification: LOGICAL | Dates: 2024-03-01 → 2024-04-20

FINDING

Payroll activity was recorded after the employee termination date beyond the allowed tolerance window.

IMPACT

This may weaken the organisation's ability to clearly evidence termination processing and final pay handling if reviewed.

RECOMMENDATION

Review the termination date and subsequent payroll activity to confirm whether the employee was correctly finalised.

EVIDENCE REFERENCE

```
{
  "sources": ["terminations.csv", "pay_events.csv"],
  "primary_keys": {
    "employee_id": "E002",
    "termination_date": "2024-03-01",
    "pay_date": "2024-04-20"
  },
  "values": {
    "gross_amount": 2500.0,
    "is_final_pay": "False",
    "days_after_termination": 50
  },
  "thresholds": {
    "allowed_days_after_term": 14,
    "high_severity_cutoff_days": 30
  },
  "explanation": "Payroll activity continued significantly after termination, indicating a likely inconsistency between lifecycle status and payroll activity."
}
```

TERM-015

HIGH

Employee: E002 | Classification: LOGICAL | Dates: 2024-03-01 → 2024-04-20

FINDING

Multiple payroll events were recorded after the termination date.

IMPACT

This may weaken the organisation's ability to clearly evidence termination processing and final pay handling if reviewed.

RECOMMENDATION

Confirm whether the employee continued employment or whether payroll processing was incorrect.

EVIDENCE REFERENCE

```
{"sources": ["terminations.csv", "pay_events.csv"], "primary_keys": {"employee_id": "E002", "termination_date": "2024-03-01"}, "values": {"post_term_pay_count": 2, "first_post_term_pay_date": "2024-03-05", "last_post_term_pay_date": "2024-04-20"}, "explanation": "Multiple payroll events were recorded after the employee termination date."}
```

TERM-004

MEDIUM

Employee: E002 | Classification: STRUCTURAL | Termination: 2024-03-01

FINDING

Termination records were identified with missing or inconsistent termination type or reason information.

IMPACT

This may weaken the organisation's ability to clearly evidence termination processing and final pay handling if reviewed.

RECOMMENDATION

Ensure termination type and reason are captured consistently across HR and payroll data and reconcile conflicting values.

EVIDENCE REFERENCE

```
{"sources": ["terminations.csv"], "primary_keys": {"employee_id": "E002", "termination_date": "2024-03-01"}, "values": {"termination_type": NaN, "termination_reason": "RESIGNATION", "employee_master_termination_type": null}, "explanation": "Termination type or reason is missing, or inconsistent with employee master data."}
```


TERM-004

MEDIUM

Employee: E005 | Classification: STRUCTURAL | Termination: 2024-03-01

FINDING

Termination records were identified with missing or inconsistent termination type or reason information.

IMPACT

This may weaken the organisation's ability to clearly evidence termination processing and final pay handling if reviewed.

RECOMMENDATION

Ensure termination type and reason are captured consistently across HR and payroll data and reconcile conflicting values.

EVIDENCE REFERENCE

```
{"sources": ["terminations.csv"], "primary_keys": {"employee_id": "E005", "termination_date": "2024-03-01"}, "values": {"termination_type": NaN, "termination_reason": "RESIGNATION", "employee_master_termination_type": null}, "explanation": "Termination type or reason is missing, or inconsistent with employee master data."}
```

TERM-005

MEDIUM

Employee: E002 | Classification: STRUCTURAL | Termination: 2024-03-01

FINDING

Termination records do not include a supporting evidence reference.

IMPACT

This may weaken the organisation's ability to clearly evidence termination processing and final pay handling if reviewed.

RECOMMENDATION

Where available, include a reference to supporting termination documentation, or confirm whether such evidence is maintained outside the payroll system.

EVIDENCE REFERENCE

```
{"sources": ["terminations.csv"], "primary_keys": {"employee_id": "E002", "termination_date": "2024-03-01"}, "values": {"evidence_ref": null}, "explanation": "Termination record has no supporting evidence reference."}
```

TERM-005

MEDIUM

Employee: E005 | Classification: STRUCTURAL | Termination: 2024-03-01

FINDING

Termination records do not include a supporting evidence reference.

IMPACT

This may weaken the organisation's ability to clearly evidence termination processing and final pay handling if reviewed.

RECOMMENDATION

Where available, include a reference to supporting termination documentation, or confirm whether such evidence is maintained outside the payroll system.

EVIDENCE REFERENCE

```
{"sources": ["terminations.csv"], "primary_keys": {"employee_id": "E005", "termination_date": "2024-03-01"}, "values": {"evidence_ref": null}, "explanation": "Termination record has no supporting evidence reference."}
```

TERM-013

MEDIUM

Employee: E002 | Classification: LOGICAL | Dates: 2024-03-01 → 2024-03-05

FINDING

A final pay event was identified without a corresponding super contribution.

IMPACT

This may weaken the organisation's ability to clearly evidence termination processing and final pay handling if reviewed.

RECOMMENDATION

Review super treatment for the final pay event.

EVIDENCE REFERENCE

```
{"sources": ["pay_events.csv", "terminations.csv"], "primary_keys": {"employee_id": "E002", "pay_date": "2024-03-05"}, "values": {"super_amount": null, "gross_amount": 2500.0, "termination_date": "2024-03-01"}, "explanation": "A final pay event was identified without a corresponding super contribution."}
```

TERM-013

MEDIUM

Employee: E005 | Classification: LOGICAL | Dates: 2024-03-01 → 2024-03-10

FINDING

A final pay event was identified without a corresponding super contribution.

IMPACT

This may weaken the organisation's ability to clearly evidence termination processing and final pay handling if reviewed.

RECOMMENDATION

Review super treatment for the final pay event.

EVIDENCE REFERENCE

```
{"sources": ["pay_events.csv", "terminations.csv"], "primary_keys": {"employee_id": "E005", "pay_date": "2024-03-10"}, "values": {"super_amount": null, "gross_amount": 2600.0, "termination_date": "2024-03-01"}, "explanation": "A final pay event was identified without a corresponding super contribution."}
```

TERM-017

MEDIUM

Employee: E002 | Classification: LOGICAL | Dates: 2024-03-01 → 2024-04-20

FINDING

Payroll activity indicates the employee may have worked after the recorded termination date.

IMPACT

This may weaken the organisation's ability to clearly evidence termination processing and final pay handling if reviewed.

RECOMMENDATION

Review termination timing and payroll activity.

EVIDENCE REFERENCE

```
{"sources": ["terminations.csv", "pay_events.csv"], "primary_keys": {"employee_id": "E002", "termination_date": "2024-03-01", "last_payroll_activity_date": "2024-04-20"}, "values": {"days_after_termination": 50}, "explanation": "Payroll activity indicates the employee may have remained in payroll after the recorded termination date."}
```

TERM-017

MEDIUM

Employee: E005 | Classification: LOGICAL | Dates: 2024-03-01 → 2024-03-10

FINDING

Payroll activity indicates the employee may have worked after the recorded termination date.

IMPACT

This may weaken the organisation's ability to clearly evidence termination processing and final pay handling if reviewed.

RECOMMENDATION

Review termination timing and payroll activity.

EVIDENCE REFERENCE

```
{
  "sources": ["terminations.csv", "pay_events.csv"],
  "primary_keys": {
    "employee_id": "E005",
    "termination_date": "2024-03-01",
    "last_payroll_activity_date": "2024-03-10"
  },
  "values": {
    "days_after_termination": 9,
    "explanation": "Payroll activity indicates the employee may have remained in payroll after the recorded termination date."
  }
}
```

6. Limitations & Assumptions

This review is subject to the following limitations:

- Calculations assume the underlying pay rates, loadings and multipliers are correct in the source systems.
- Award and enterprise agreement interpretation is not performed by this tool.
- Holiday calendars, leave rules and accrual settings are assumed to reflect the organisation’s intended configuration.
- Data quality issues (missing records, duplicates, inconsistent identifiers) may affect the completeness and accuracy of the results.

7. Recommended Next Steps

1. Validate the highest-severity findings first.

2. Review the most affected modules and confirm whether findings reflect genuine control issues or data limitations.
 3. Address structural data gaps that weaken evidentiary confidence.
 4. Confirm root causes before remediation.
 5. Re-run the review after corrective action to confirm that risk indicators have reduced.
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8. Appendices

Appendix A – Rule Definitions

This review used a set of automated rules to flag evidential and process risk indicators.

Termination Exposure (TERM)

- Final pay sequencing checks vs termination date
- Missing / inconsistent termination dates
- Missing / inconsistent termination type / reason
- Missing evidence references / artefact identifiers
- Ambiguous identification of final pay events within a window
- Termination events inconsistent with ordinary pay activity patterns

Appendix B – Machine-readable outputs

Complete machine-readable outputs are available in the generated CSV and summary files for the modules included in this engagement.

These files provide row-level detail suitable for operational review, sampling, remediation planning, or incorporation into a broader audit work program.
